1. (C) Summary. Minister of Transportation Binali Yildirim confirmed to Ambassador Jeffrey that price is now the main sticking point in the prospective purchase of Boeing aircraft by Turkish Airlines (THY). Yildirim stressed, however, that price is not the only consideration and that THY is looking at the (vague) associated conditions for evidence of a long-term partnership and commitment. He added that the GOT is also hoping for a heightened level of civil aviation cooperation with the FAA, and that progress on that front would improve the environment for Boeing as well. Finally, he repeated President Gul's request to President Obama for assistance in sending a Turkish astronaut into space, and hinted that this was tied into Turkey's consideration of commercial deals. The Ambassador highlighted Boeing's long history of cooperation with and investment in Turkey, not only through partnerships with local firms but also via direct investment in the community through its corporate social responsibility programs. He also promised to discuss the possibilities for cooperation with FAA and investigate whether NASA could help facilitate the Turkish space program. End summary.

2. (SBU) Ambassador Jeffrey, accompanied by Commercial Counselor and Econoff, met with Minister of Transportation Binali Yildirim on January 14 to advocate on behalf of Boeing in the ongoing procurement of new airplanes for the THY fleet. THY recently announced that it would be purchasing 20 Airbus single-aisle aircraft with an option for 10 more. Negotiations with Boeing for a similar number of 737s are ongoing (see reftel). The value of this deal is approximately USD 3.4 billion.

3. (C) The Ambassador, alluding to the discussions between President Obama and Prime Minister Erdogan, noted his understanding that the main sticking point in the negotiations now seems to be on price (as was expressed by THY CEO to CG Wiener in reftel). Yildirim confirmed that price is the most important outstanding issue and observed that haggling over price is a normal part of any business negotiation. He went on to say, however, that price is not the only consideration, and that THY and the GOT are looking at the offer carefully with an eye toward after-sale service and long-term partnership. Ambassador Jeffrey highlighted Boeing's longstanding commitment to Turkey, its history of cooperative production with local manufacturers, its world-class corporate social responsibility programs, and the superior quality of its products.

4. (C) Yildirim added that the GOT is evaluating the Boeing offer in the context of Turkey's overall civil aviation cooperation with the United States, especially in terms of cooperation between the Ministry and the FAA. He noted that Turkey needs to strengthen both its technical infrastructure and its human capacity to meet the growing demand for aviation services, and expressed hope that the